

UNIT 1

Q1 What is Blockchain? Explain Features of Blockchain

1. Blockchain is a distributed digital ledger used to record transactions.
2. Data is stored in blocks that are linked together in a chain.
3. Each block contains transaction data, timestamp, and previous hash.
4. Blockchain works without a central authority.
5. It is a decentralized system.
6. Copies of the ledger are stored across many network nodes.
7. Blockchain data is immutable and cannot be changed easily.
8. It provides high transparency to participants.
9. Security is achieved using cryptography and hashing.
10. Transactions are added through consensus mechanisms.
11. All transactions are traceable and verifiable.
12. Blockchain removes the need for trusted intermediaries.

✓ Enough for full marks answer.



Ultra Short Revision Notes

- ✎ Blockchain = block + chain + shared ledger
 - ✎ No central control
 - ✎ Cannot change old data
 - ✎ Secure + transparent + distributed
-



Memory Trick (Super Easy)



DISTTCT

- Decentralized
- Immutable
- Secure
- Transparent
- Traceable
- Consensus
- Trustless

Q2 Describe how Blockchain Works

1. Blockchain works by recording transactions in linked blocks.
2. First, a user creates a transaction request.
3. The transaction is broadcast to the blockchain network.
4. Network nodes receive the transaction.
5. Nodes verify the transaction details.
6. Verification checks validity and digital signatures.
7. Valid transactions are grouped into a block.
8. The block contains data, timestamp, and previous hash.
9. The network applies a consensus mechanism.
10. After consensus, the block is added to the chain.
11. The updated blockchain is shared with all nodes.
12. The chain becomes permanent and tamper-resistant.

✅ Full 6–8 mark ready answer.



Ultra Short Revision Notes

- 👉 Transaction sent
 - 👉 Nodes verify
 - 👉 Block created
 - 👉 Consensus
 - 👉 Block added
 - 👉 Chain updated
-



Memory Trick (Very Easy ★)



T B V B C A U

Say: "Tea Boy Very Busy Cooking Always Up" 😊

- Transaction
- Broadcast
- Verify
- Block
- Consensus
- Add
- Update



Q3 Explain Types of Blockchain

1. Blockchain networks are classified based on access and control.
2. There are three main types of blockchain.
3. The first type is Public Blockchain.
4. Public blockchain is open to everyone.
5. Anyone can join and validate transactions.
6. It is fully decentralized and transparent.
7. Example includes Bitcoin and Ethereum.
8. The second type is Private Blockchain.
9. It is controlled by a single organization.
10. Only authorized users can access it.
11. The third type is Consortium Blockchain.
12. It is controlled by a group of organizations.
13. It is semi-decentralized in nature.
14. It is commonly used in banking and enterprise systems.

✅ Perfect 6–8 mark answer.

Ultra Short Revision Notes

- 👉 Public = everyone
- 👉 Private = one company
- 👉 Consortium = group control

Memory Trick (Very Easy ★)

✅ P – P – C Rule

- Public → People
- Private → Personal company
- Consortium → Club (group)

Say: **People – Personal – Club** 😊

1 Public Blockchain (Open Blockchain)

👉 Open for everyone

- Anyone can join
- Anyone can read/write
- Fully decentralized
- Very transparent
- Slower but more secure

📌 Example: Bitcoin, Ethereum

2 Private Blockchain (Closed Blockchain)

👉 Controlled by one organization

- Permission needed to join
- Only selected users allowed
- Faster performance
- More control
- Less decentralized

📌 Example: Company internal blockchain

3 Consortium Blockchain (Federated)

👉 Controlled by group of organizations

- Not fully public
- Not single owner
- Shared control
- Semi-decentralized
- Good for industry groups

📌 Example: Banking network blockchain

Q4 Differentiate between Public, Private and Consortium Blockchain

Feature	Public Blockchain	Private Blockchain	Consortium Blockchain 
Access	Open to everyone	Restricted	Restricted to group
Control	No single owner	One organization	Multiple organizations
Permission	Not required	Required	Required
Decentralization	Fully decentralized	Centralized	Semi-decentralized
Transparency	Very high	Limited	Medium
Speed	Slower	Faster	Faster
Security	Very high	High	High
Trust	Trustless system	Trust in owner	Trust in group
Users	Anyone can join	Selected users	Member organizations
Example	Bitcoin, Ethereum	Company blockchain	Banking consortium

” Ask ChatGPT

Q5 Enlist Applications and Challenges of Blockchain

✓ Part A — Applications of Blockchain (Easy Examples)

Just remember **money + records + tracking** 📌

◆ Applications

- 1 Cryptocurrency (Bitcoin, Ethereum)
 - Digital money transfer
 - 2 Banking & Finance
 - Fast and secure payments
 - 3 Supply Chain
 - Track goods from factory to customer
 - 4 Healthcare
 - Store patient records safely
 - 5 Voting Systems
 - Tamper-proof e-voting
 - 6 Digital Identity
 - Secure ID verification
 - 7 Smart Contracts
 - Automatic agreement execution
-

✓ Part B — Challenges of Blockchain (Simple Problems)

Think: **slow + costly + complex**

⚠ Challenges

- 1 Scalability problem
 - Network becomes slow with many users
- 2 High energy use
 - Mining consumes electricity
- 3 Storage size
 - Blockchain grows very large
- 4 Cost
 - Setup and maintenance expensive
- 5 Complexity
 - Hard to understand and implement
- 6 Regulation issues
 - Laws not clear in many countries
- 7 Security risks (smart contracts bugs)
 - Code mistakes can cause loss

✓ Applications

Crypto – Bank – Supply – Health – Voting – ID – Smart contracts

⚠ Challenges

Slow – Energy – Cost – Complex – Law issues

Q6 Explain Double Spending Problem in Blockchain

How Blockchain Solves Double Spending

Step-by-step (Easy)

-  1 All transactions are recorded publicly
-  2 Network nodes verify every transaction
-  3 Consensus mechanism checks validity
-  4 Once recorded → cannot change
-  5 Only first valid transaction is accepted
-  6 Duplicate transaction is rejected

 So same coin cannot be used twice 

Exam Answer — Pointwise (Write This)

1. Double spending is a problem in digital currency systems.
2. It means spending the same digital coin more than once.
3. Digital data can be copied easily.
4. A dishonest user may try to reuse the same coin.
5. This creates fraud and trust issues.
6. Traditional digital systems faced this problem.
7. Blockchain solves double spending using public ledger.
8. All transactions are recorded in blocks.
9. Network nodes verify each transaction.
10. Consensus mechanisms approve only valid transactions.
11. Once recorded, transactions cannot be changed.
12. Duplicate transactions are rejected by the network.

UNIT 5

Q1 What are the benefits of using blockchain in Supply Chain Management?

1. Supply chain management tracks products from source to customer.
2. Blockchain provides a shared and secure record of all transactions.
3. Every step of product movement is recorded in blocks.
4. Records cannot be changed once stored.
5. This prevents fraud and fake entries.
6. Blockchain increases transparency among participants.
7. All parties can see the same data.
8. It improves product traceability.
9. Customers can verify product origin.
10. It reduces paperwork and manual errors.
11. Smart contracts automate supply chain processes.
12. Overall efficiency and trust are increased.

✅ Full marks ready.



Ultra Short Revision Notes

- 👉 Supply chain = product journey
- 👉 Blockchain = shared tracking
- 👉 No fake records
- 👉 Full transparency
- 👉 Better trust

✅ What is supply chain?

👉 Product journey from:

Factory → Transport → Warehouse → Shop → Customer

Problem today:

- fake products
- no transparency
- record tampering
- tracking difficulty

👉 Blockchain fixes this by giving **shared, tamper-proof tracking**.

Q2 How does blockchain facilitate cross-border payments?

1. Cross-border payments are transfers between different countries.
2. Traditional systems use many intermediary banks.
3. This makes transactions slow and costly.
4. Blockchain enables direct peer-to-peer transfer.
5. It removes the need for multiple intermediaries.
6. Transactions are verified by network nodes.
7. Settlement happens faster than traditional banking.
8. Transaction fees are reduced.
9. Blockchain provides transparent transaction records.
10. Currency conversion can be automated using crypto tokens.
11. Smart contracts can automate payment release.
12. Blockchain increases speed, security, and cost efficiency.

✅ Ready for full marks.



Ultra Short Revision Notes

- 👉 Cross-border = country to country
 - 👉 Old system = slow + costly
 - 👉 Blockchain = direct + fast
 - 👉 No middle banks
 - 👉 Lower fees
-



Memory Trick ★

✅ **F D N T S**

Fast

Direct

No intermediaries

Transparent

Secure

Q3 Develop a use case for using Smart Contracts in Electronic Voting Systems

1. Electronic voting systems require transparency and trust.
2. Traditional voting may face tampering and fraud risks.
3. Smart contracts can automate voting rules.
4. A smart contract is deployed on blockchain.
5. Voter identity is verified before voting.
6. Each voter is allowed to vote only once.
7. Votes are recorded as blockchain transactions.
8. Once recorded, votes cannot be changed.
9. Smart contract automatically counts votes.
10. Results are visible and verifiable.
11. No central authority can alter results.
12. This increases trust, security, and transparency.

✅ Full marks ready.



Ultra Short Revision Notes

- 👉 Smart contract controls voting
 - 👉 One voter = one vote
 - 👉 No tampering
 - 👉 Auto counting
 - 👉 Transparent result
-



Memory Trick ★

✅ **V O T E C**

Verify voter

One vote only

Tamper-proof record

Electronic counting

Contract controlled

Q4 Develop a use case for blockchain in Healthcare Record Management

1. Healthcare systems store large amounts of patient data.
2. Traditional records are scattered across hospitals.
3. Data sharing is slow and insecure.
4. Blockchain can store medical records securely.
5. Each patient gets a unique blockchain record.
6. Records are encrypted and tamper-proof.
7. Only authorized doctors can access data.
8. Every update is added as a new block.
9. Full medical history is always available.
10. Data cannot be secretly modified.
11. It improves privacy and trust.
12. It enables faster and safer data sharing.

✅ Full marks ready.



Ultra Short Revision Notes

- 👉 One patient = one record
 - 👉 Secure + encrypted
 - 👉 Only authorized access
 - 👉 No tampering
 - 👉 Easy sharing
-



Memory Trick ★

✅ HEALTH

History stored

Encrypted

Authorized access

Log of updates

Tamper-proof

Hospital sharing



Q5 Explain the concept of Decentralized Identity using Blockchain

1. Traditional identity systems are centralized.
2. User data is stored in central databases.
3. This creates risk of data leaks and misuse.
4. Decentralized identity uses blockchain technology.
5. Identity data is stored in encrypted form on blockchain.
6. Users control their own identity credentials.
7. No single authority owns the identity database.
8. Verification is done using cryptographic proofs.
9. Data cannot be easily modified or forged.
10. Users share only required identity information.
11. It improves privacy and security.
12. It reduces identity fraud and data breaches.

✅ Full marks ready.



Ultra Short Revision Notes

- 👉 Identity on blockchain
 - 👉 User controls data
 - 👉 No central database
 - 👉 Secure + private
 - 👉 Hard to fake
-



Memory Trick ★



MYID

My control

Your data safe

Immutable proof

Decentralized

Q6 Differentiate between Virtual Reality, Augmented Reality, and Mixed Reality

✔ One-line understanding first (remember this!)

- 👉 VR = Fully fake world
- 👉 AR = Real world + digital objects
- 👉 MR = Real + digital interact together

Think like:

- VR → You go inside computer world 🎮
- AR → Computer objects come into real world 📱
- MR → Both worlds mix & interact 🤖

✔ Exam Table Answer (Write Directly)

Feature	Virtual Reality (VR)	Augmented Reality (AR)	Mixed Reality (MR)	📄
Environment	Fully virtual	Real + digital overlay	Real + digital mixed	
Real world view	Not visible	Visible	Visible	
Immersion level	Full immersion	Partial	Medium–high	
Device	VR headset	Mobile / AR glasses	MR headset	
Interaction	Only virtual	Mostly real world	Real + virtual interact	
User enters	Virtual world	Real world	Mixed world	
Example	VR games	Pokémon Go	HoloLens apps	

Q7 How does Metaverse enable social interaction?

1. The metaverse is a shared 3D virtual environment.
2. Users join using digital avatars.
3. Avatars represent real users in virtual space.
4. Users can meet and communicate in real time.
5. Voice and text chat enable conversations.
6. Virtual meeting rooms support group interaction.
7. Users can attend virtual events and classes.
8. Multiplayer games enable social engagement.
9. Virtual workplaces allow team collaboration.
10. Users can share digital assets and objects.
11. Social presence increases through VR immersion.
12. It creates a sense of community in virtual space.

✅ Full marks ready.



Ultra Short Revision Notes

- 👉 Avatar meeting
 - 👉 Voice + chat
 - 👉 Virtual rooms
 - 👉 Events + games
 - 👉 Collaboration
-

UNIT 2

Q1 What is Cryptography? Explain with suitable example

Why Cryptography is Used

- protect data
 - secure communication
 - prevent hacking
 - verify identity
 - protect blockchain transactions
-

Exam Answer — 10–12 Points

1. Cryptography is the science of securing information.
2. It protects data from unauthorized access.
3. It converts readable data into unreadable form.
4. This unreadable form is called ciphertext.
5. Original data is called plaintext.
6. Encryption is the process of converting plaintext to ciphertext.
7. Decryption converts ciphertext back to plaintext.
8. Cryptography uses mathematical algorithms.
9. It uses keys for encryption and decryption.
10. It ensures confidentiality and security.
11. It is widely used in blockchain systems.
12. Example: encrypted messages in digital payments.

 Full marks ready.

Ultra Short Revision Notes

- 👉 Cryptography = data protection
 - 👉 Plaintext → ciphertext
 - 👉 Encryption + decryption
 - 👉 Uses keys
 - 👉 Used in blockchain
-

Q2 Differentiate between Symmetric and Asymmetric Cryptography

Symmetric Cryptography (Easy Idea)

- Same key used to encrypt and decrypt
- Sender and receiver share one secret key
- Fast
- Less secure for key sharing

Think:

👉 One lock – one key

Asymmetric Cryptography (Easy Idea)

- Two keys used:
 - Public key
 - Private key
- One key encrypts, other decrypts
- More secure
- Slower but safer

Think:

👉 Lock open for all (public), key secret with owner (private)

Exam Table Answer (Write This Directly)

Feature	Symmetric Cryptography	Asymmetric Cryptography
Keys used	One key	Two keys
Key type	Shared secret key	Public + Private key
Encryption/Decryption	Same key	Different keys
Speed	Faster	Slower
Security	Lower	Higher
Key sharing	Difficult	Easier (public key shared)
Use case	Data encryption	Digital signature, blockchain
Example	AES, DES	RSA, ECC

Q3 Write a note on Digital Signature with suitable diagram

Exam Answer — 10–12 Points

1. A digital signature is an electronic authentication method.
2. It verifies the identity of the sender.
3. It ensures message integrity.
4. It uses cryptographic techniques.
5. First, the message is converted into a hash value.
6. The hash is encrypted using the sender's private key.
7. This encrypted hash is the digital signature.
8. The sender sends message and signature together.
9. The receiver decrypts signature using sender's public key.
10. The receiver hashes the message again.
11. Both hash values are compared.
12. If they match, the message is authentic.

✅ Full marks ready.



Ultra Short Revision Notes

- ✎ Hash message
- ✎ Encrypt hash with private key
- ✎ Send both
- ✎ Receiver checks with public key
- ✎ Match = valid

Step-by-Step Working (Easy Flow)

Step 1

Sender writes message

Step 2

Message → hashed (fixed-size fingerprint)

Step 3

Hash is encrypted using **sender private key**

✎ This becomes digital signature

Step 4

Sender sends:

- message
- signature

Step 5

Receiver:

- hashes message again
- decrypts signature using sender public key

Step 6

If both hashes match → valid ✅

Q4 Explain Secure Hash Algorithm SHA-256

Simple Teacher Explanation

- 👉 SHA-256 is a **hash function**
- 👉 It converts any size data → fixed 256-bit output

Think:

Data fingerprint 📌

Even small change → totally different hash

Example:

SCSS

HELLO → A1B9X...

HELLo → Z93KD... (completely different)

Used heavily in **blockchain mining & block hashing**.

Exam Answer — 10–12 Points

1. SHA-256 stands for Secure Hash Algorithm 256-bit.
2. It is a cryptographic hash function.
3. It converts input data into fixed-length output.
4. Output size is always 256 bits.
5. It works on one-way principle.
6. Original data cannot be recovered from hash.
7. Even a small input change changes the hash completely.
8. It ensures data integrity.
9. It is collision resistant.
10. Used in blockchain block hashing.
11. Used in mining process.
12. Provides strong security.

Q5.Explain ECDSA (Elliptic Curve Digital Signature Algorithm)

👉 ECDSA = digital signature method

👉 Uses **elliptic curve mathematics**

👉 Used in **Bitcoin & Ethereum**

It is like digital signature — but:

- smaller keys
 - faster
 - stronger security
-

🔒 Why Used in Blockchain

Because:

- lightweight
 - high security
 - small key size
 - efficient for wallets
-

👉 Exam Answer — 10–12 Points

1. ECDSA stands for Elliptic Curve Digital Signature Algorithm.
2. It is used for digital signatures.
3. It is based on elliptic curve cryptography.
4. It uses a private key and public key pair.
5. Private key signs the message.
6. Public key verifies the signature.
7. It provides authenticity and integrity.
8. It requires smaller keys than RSA.
9. Smaller keys give faster performance.
10. It provides strong security.
11. Used in Bitcoin and Ethereum.
12. Commonly used in blockchain wallets.

UNIT 3

Q1 Explain Proof of Work and how it relates to Mining

Simple Working Flow

Miner:

- collects transactions
 - tries different numbers (nonce)
 - hashes block again and again
 - finds hash meeting condition
 - wins → block added
-

What is Mining (Easy Meaning)

👉 Mining = validating transactions + creating new blocks using PoW

Reward given:

- new coins
 - transaction fees
-

Exam Answer — 10–12 Points

1. Proof of Work is a blockchain consensus mechanism.
 2. It is used to validate and add new blocks.
 3. It requires solving a complex mathematical puzzle.
 4. The puzzle involves hash calculations.
 5. Miners compete to solve the puzzle first.
 6. The first miner gets the right to add the block.
 7. This process is called mining.
 8. Mining verifies transactions.
 9. Mining secures the blockchain network.
 10. Successful miner receives block reward.
 11. PoW prevents spam and fake blocks.
 12. It is used in Bitcoin blockchain.
-

Ultra Short Revision Notes

- 👉 PoW = puzzle rule
- 👉 Mining = puzzle solving
- 👉 Winner adds block
- 👉 Gets reward
- 👉 Secures network



Q2.What are the main stages in the Blockchain Transaction Life Cycle?

◆ Stage 1 — Transaction Created

- User creates transaction
 - Includes sender, receiver, amount
-

◆ Stage 2 — Broadcast to Network

- Transaction sent to blockchain nodes
 - Network receives it
-

◆ Stage 3 — Verification

- Nodes check validity
 - Signature + balance checked
-

◆ Stage 4 — Added to Transaction Pool

- Valid transactions stored temporarily
 - Waiting for miner
-

◆ Stage 5 — Block Creation

- Miner selects transactions
 - Groups them into a block
-

◆ Stage 6 — Consensus & Mining

- Miner solves puzzle (PoW etc.)
 - Network approves block
-

◆ Stage 7 — Block Added to Chain

- Block linked to previous block
 - Hash connected
-

◆ Stage 8 — Confirmation

- Transaction becomes permanent
- Receiver gets funds



Exam Answer — 10–12 Points

1. A blockchain transaction starts when a user creates a request.
 2. Transaction includes sender, receiver, and value.
 3. The transaction is broadcast to the network.
 4. Network nodes receive the transaction.
 5. Nodes verify transaction validity.
 6. Digital signatures are checked.
 7. Valid transactions enter transaction pool.
 8. Miners select transactions from pool.
 9. Transactions are grouped into a block.
 10. Consensus mechanism validates the block.
 11. Block is added to blockchain.
 12. Transaction becomes confirmed and permanent.
-



Ultra Short Revision Notes

-  Create
 -  Broadcast
 -  Verify
 -  Pool
 -  Block
 -  Mine
 -  Add
 -  Confirm
-



Memory Trick



CBVPBMAC

- Create
- Broadcast
- Verify
- Pool
- Block
- Mine
- Add
- Confirm



Q3 Differentiate between Hard Fork and Soft Fork

Super Simple Teacher Explanation

One-line core idea (remember this!)

 Hard Fork = Permanent split 

 Soft Fork = Temporary / compatible update 

Think like software update:

- Hard fork → new version NOT compatible
- Soft fork → new version still compatible

Easy Example

Soft Fork

Old users + new users still work together

Chain stays one

Hard Fork

Network splits into two chains

Old vs new rules

” Ask ChatGPT

Exam Table Answer (write Directly)

Feature	Hard Fork	Soft Fork	
Meaning	Permanent rule change	Backward-compatible change	
Compatibility	Not compatible	Compatible	
Chain result	Splits into two chains	Single chain continues	
Upgrade need	All must upgrade	Not all must upgrade	
Old nodes	Cannot validate new blocks	Can still validate	
Network effect	Creates new blockchain	Updates existing blockchain	
Risk	Community split	Less risky	
Example	Bitcoin Cash fork	Bitcoin protocol updates	

Q4 What is the Genesis Block?

Key Idea to Remember

Normal blocks contain:

- previous block hash

! But Genesis Block:

- has **no previous hash**
 - because it is the first block
-

Why It Is Important

- Starting point of blockchain
 - All other blocks connect to it (indirectly)
 - Foundation of entire chain
-

Example

Bitcoin Genesis Block:

- created by Satoshi Nakamoto
- mined in 2009
- contains special message text

(You can write this as extra point for impression 🌟)

Exam Answer — 10–12 Points

1. The Genesis Block is the first block in a blockchain.
2. It is the starting point of the blockchain.
3. All other blocks are linked after it.
4. It does not have a previous block hash.
5. Normal blocks reference a previous hash.
6. Genesis block is created manually or specially.
7. It initializes the blockchain network.
8. It contains the first set of data or transactions.
9. It is hardcoded into the protocol.
10. It acts as the foundation of the chain.
11. Every blockchain has exactly one genesis block.
12. Example: Bitcoin genesis block was created in 2009.